IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT – II)

Item No. 204
CA-(CAA)-13/ND/2023

IN THE MATTER OF:
Fortis Emergency Services Limited ... Applicant/Petitioner
And Fortis Hospitals Limited

Under Section: 230-232

Order delivered on 20.10.2023

CORAM:
SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L. N. GUPTA, HON'BLE MEMBER (T)

PRESENT:
For the Applicant : Mr. UK Chaudhary Sr. Adv., Mr. Sanjeev Sharma, Mr. Vaibhav Kakkar, Mr. Roy, Mr. Mansumyer Singh, Mr. Jain Advs.
For the RD : Adv. Shankari Mishra

(Hearing Through: VC and Physical (Hybrid) Mode)

ORDER

The salient contention espoused by Ms. Shankari Mishra, Ld. Counsel appearing for RD has been that there being IHH Healthcare Berhad (Ultimate Holding), Integrated Healthcare Holding Ltd., Park Pantai Limited, Fortis Healthcare Limited, and Fortis Hospitals Limited holding companies of each other and there being more than two layers of the subsidiary companies, the very legality of Fortis Hospitals Limited i.e., the Transferee Company in the captioned petition is in question, thus there cannot be any merger of the Applicant Nos. 1, 2 & 4 i.e., subsidiaries of the Fortis Hospitals Limited with it.

Confronted with this, Mr. U.K. Chaudhary, Ld. Sr. Counsel submitted that Section 186 of the Companies Act 2013 is applicable only to Indian Companies and while taking into account the permissible layers, the same needs to be counted from Fortis Healthcare Limited, and the first 3 layers needed to be ignored for the purpose. In his submissions, after Fortis Healthcare Limited,

there is only Fortis Hospitals Limited and the Transferor Companies i.e., 2 layers. According to him, applicant Nos. 1, 2 & 4 never invested in any further subsidiary company thus, there is no violation of Section 186 of the Companies Act 2013.

Confronted with the arguments of Ld. Sr. Counsel, Ms. Shankari Mishra seeks an opportunity to take instructions from the RD/Department as to how the objections espoused in the RD's Report are sustainable. At her request, the hearing is deferred to 06.11.2023.

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)

(Ashima)